

MARY AND LAMAR

How could Mary and Lamar afford the tuition to send their two children to private schools? They couldn't afford it; Mary's parents paid the bill. Unusual? On the contrary. Our survey research indicates that 43 percent of the millionaires in this country who have grandchildren pay for all or part of their private school tuition (see [Table 5-1](#)). We refer to such subsidies as third-generation educational enhancements.

We recently discussed this form of outpatient care with an audience of affluent grandmothers. We provided them with the results of our surveys. We did not endorse or criticize such behavior. After our presentation, we answered questions. The third questioner took this opportunity to make a statement:

TABLE 5-1
ECONOMIC OUTPATIENT CARE GIVEN BY AFFLUENT
PARENTS TO THEIR ADULT CHILDREN AND/OR
GRANDCHILDREN¹

ECONOMIC OUTPATIENT CARE	PERCENT OF AFFLUENT
1. THIRD-GENERATION EDUCATIONAL ENHANCEMENTS • Funding of tuition for grandchildren's private grade school and/or private high school	43%
2. SECOND-GENERATION EDUCATIONAL ENHANCEMENTS • Funding of tuition for adult children's graduate school	32%
3. INTERGENERATIONAL HOME OWNERS' SUPPLEMENT	17% 59%